

PANEL 1/12 — CLAIM WATERFALL

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Debt = contractual creditor claim; equity = residual ownership claim.	
Secured/senior debt -> subordinated debt -> preference -> ordinary equity.	
Priority reduces relative exposure but never guarantees full recovery.	
Answer first: claim, cash flow, priority, maturity, optionality.	

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PANEL 2/12 – BOND ANATOMY	
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Face value -> coupon -> maturity -> redemption.	
Market price changes after issue; coupon rate does not.	
Covenants, security and seniority condition recovery.	
Coupon != current yield != yield to maturity.	

PANEL 3/12 — PRICE, DURATION, RISK

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required yield up -> fixed-cash-flow present value down -> price down.	
Duration approximates sensitivity; convexity refines the curve.	
Risks: credit rate reinvestment liquidity inflation currency.	
Fixed income does not mean fixed realised return.	

PANEL 4/12 — SPECIAL BONDS

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Zero coupon: discount + redemption Floating: benchmark reset.	
Inflation-indexed: stated cash flow linked to index.	
Callable: issuer option Puttable: investor option Convertible: equity path.	
Masala: overseas INR debt Green: disclosed environmental proceeds.	

PANEL 5/12 — EQUITY AND RATIOS

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Equity: ownership + residual return + governance rights.	
Market cap = price x shares EPS = profit / weighted shares.	
P-E, P-B and dividend yield are lenses, not verdicts.	
Preference share has priority over ordinary equity but remains share capital.	

PANEL 6/12 — DERIVATIVE FAMILY

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Forward/future: symmetric obligations Option: buyer right, writer duty.	
Swap: exchange specified cash-flow streams.	
Notional reference exposure can exceed cash initially posted.	
Underlying + payoff + purpose + settlement = complete classification.	

PANEL 7/12 — OPTION PAYOFF

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Long call = $\max(\text{spot} - \text{strike}, 0) - \text{premium}$.	
Long put = $\max(\text{strike} - \text{spot}, 0) - \text{premium}$.	
Buyer can allow expiry; writer must perform if validly exercised.	
Premium affects break-even; strike alone is not profit.	

PANEL 8/12 — PURPOSE AND MARGIN

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Existing exposure + offset = hedge naked direction = speculation.	
Price inconsistency + offsetting trades = arbitrage.	
Initial margin -> daily MTM -> variation margin -> possible forced sale.	
Margin controls default exposure but can transmit liquidity stress.	

PANEL 9/12 — FUND ARCHITECTURE

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Investor -> units -> trust; AMC manages, trustee oversees, custodian holds.	
NAV = net scheme assets / units outstanding.	
Open/closed, active/passive, asset class and trading form are separate axes.	
ETF trades on exchange and can deviate from NAV.	

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PANEL 10/12 – FUND SAFEGUARDS	
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Direct vs regular = distribution-cost route, not different scheme mandate.	
Riskometer has six levels; it does not predict return.	
Disclosure + valuation + custody + liquidity tools + SCORES remedy.	
SEBI MF Regulations effective 1 Apr 2026; Master Circular 20 Mar 2026.	

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PANEL 11/12 – VEHICLES AND REGULATORS	
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REIT real estate InvIT infrastructure AIF private pool PMS client-specific.	
NPS: PFRDA + Trust + pension fund + CRA + PoP + custodian.	
SEBI domestic securities RBI specified OTC rate/FX IFSCA IFSC.	
Wrapper classification must precede return, tax or suitability claims.	

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PANEL 12/12 – CONDUCT AND SYSTEMIC RISK	
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UPSI misuse != manipulation != mis-selling; each has a distinct control.	
Leverage/mismatch -> margin/redemption -> forced sale -> lower price -> contagion.	
Verdict: access + truthful disclosure + suitability + resilient settlement.	
Topic 7 = plumbing; Topic 8 = product payoff and portfolio risk.	